

CORPORATE SPONSORSHIP & ENDORSEMENT

SPM381 CONSUMER BEHAVIOR IN SPORTS



SPONSORSHIP

WHAT IS SPONSORSHIP?

“The provision of assistance, either financially or in kind, to an activity by a commercial organization for the purpose of achieving commercial objectives” (Meenaghan, 1983).

“A cash and/or in-kind fee paid to a property (typically a sports, entertainment, non-profit event or organization) in return for access to the exploitable commercial potential associated with that property” (IEG Inc., 2012).

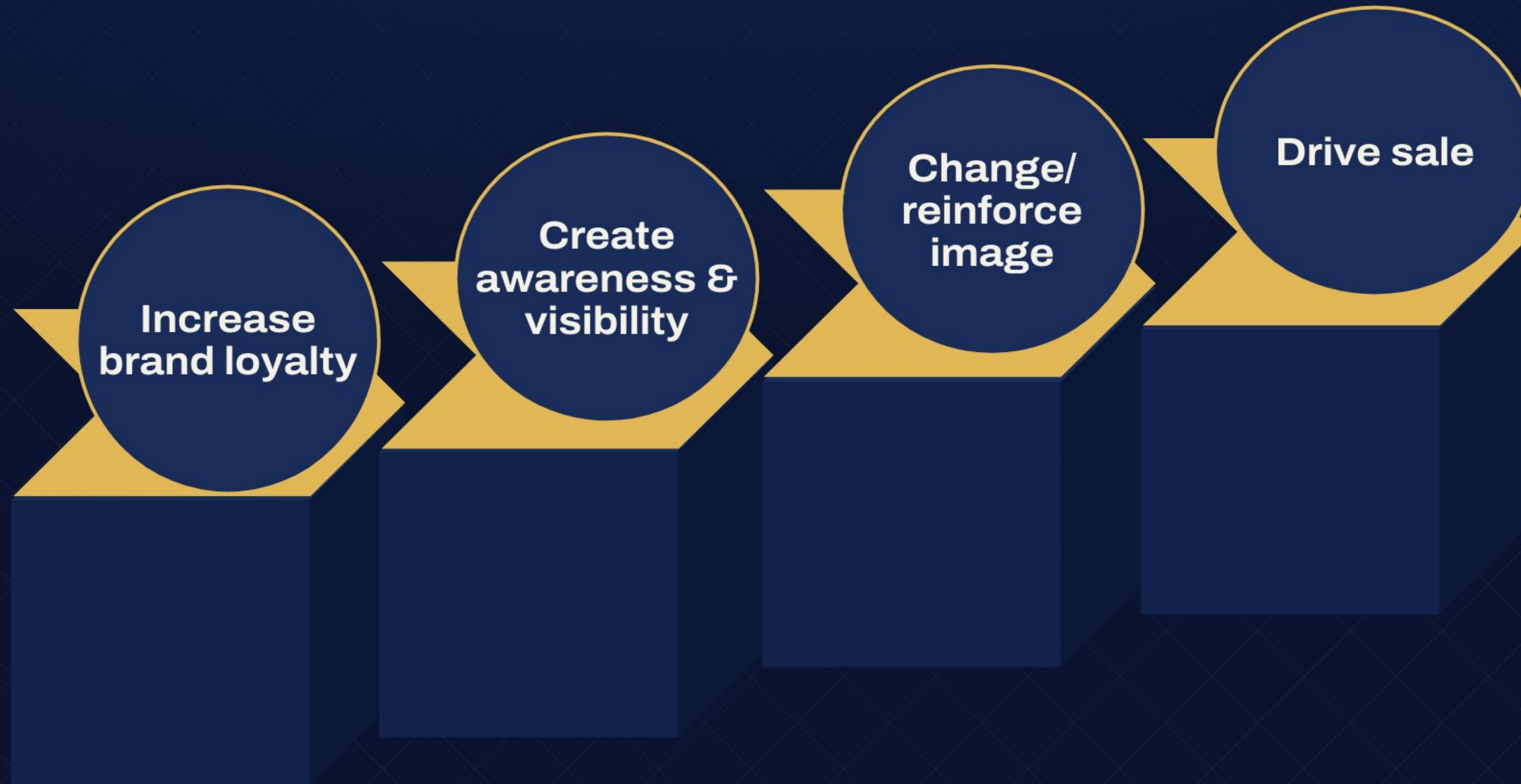


CASH, IN-KIND, PROPERTY, COMMERCIAL OBJECTIVES

**Why is sponsorship in sports
important?**

Why companies sponsor?

OBJECTIVES



OBJECTIVES CONT.

◆ Click the card to reveal the objective



OBJECTIVE

**Recruit/
retain
employee**



OBJECTIVES CONT.

◆ Click the card to reveal the objective



OBJECTIVE

**Recruit/
retain
employee**

Sponsorships are also scrutinized for their ability to provide incentives for a company's workforce.

Examples range from American Express inviting 3,000 employees to a company-sponsored rock concert in Central Park to McDonald's having NBA and Olympic athletes visit stores and meet with its crews.

Hugo Boss, which sponsors the Solomon R. Guggenheim Museum, offers employees discounted tickets and subsidized trips to Guggenheim museums worldwide.

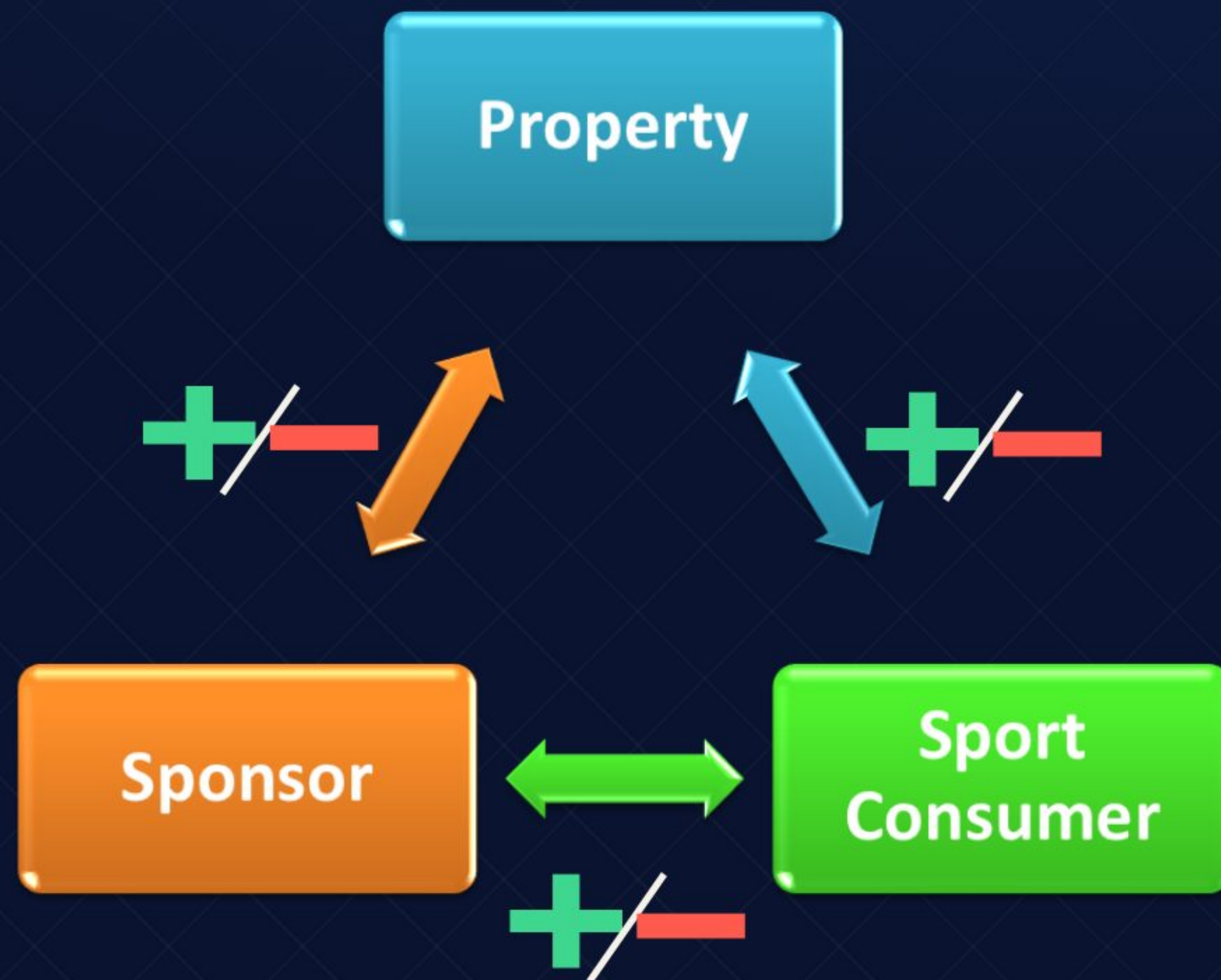
SPONSOR, PROPERTY, AND SPORT CONSUMER



THEORIES

Balance Theory (Heider, 1958)

◆ Click to reveal the signs, then the definition



“Liking relationships are balanced if the affect valance in a system multiplies out to a positive result.”

THEORIES

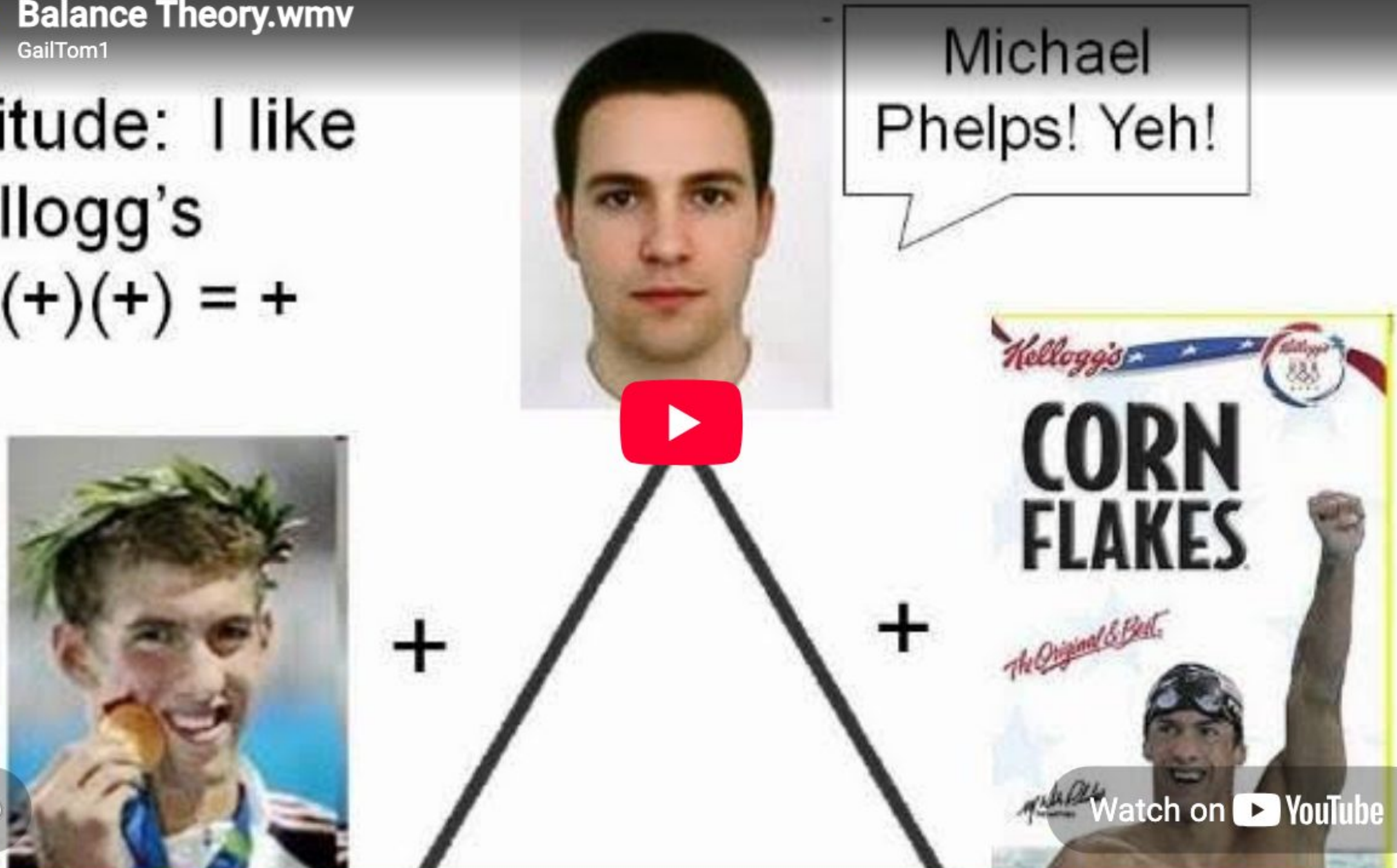
Balance Theory (Heider, 1958)

Please watch this video clip:

Balance Theory.wmv
GailTom1

Attitude: I like Kellogg's
 $(+)(+)(+) = +$

Michael Phelps! Yeh!



Watch on YouTube

<https://www.youtube.com/watch?v=20iA3UUd1WA>

THEORIES CONT.

Balance Theory (Heider, 1958)

Use 'slide show' to see the attitude change below

◆ Click to reveal each step

Your attitude toward Nike:

(+) (+) (?) = (+)

(+) (+) (+) = (+)



THEORIES CONT.

Balance Theory (Heider, 1958)

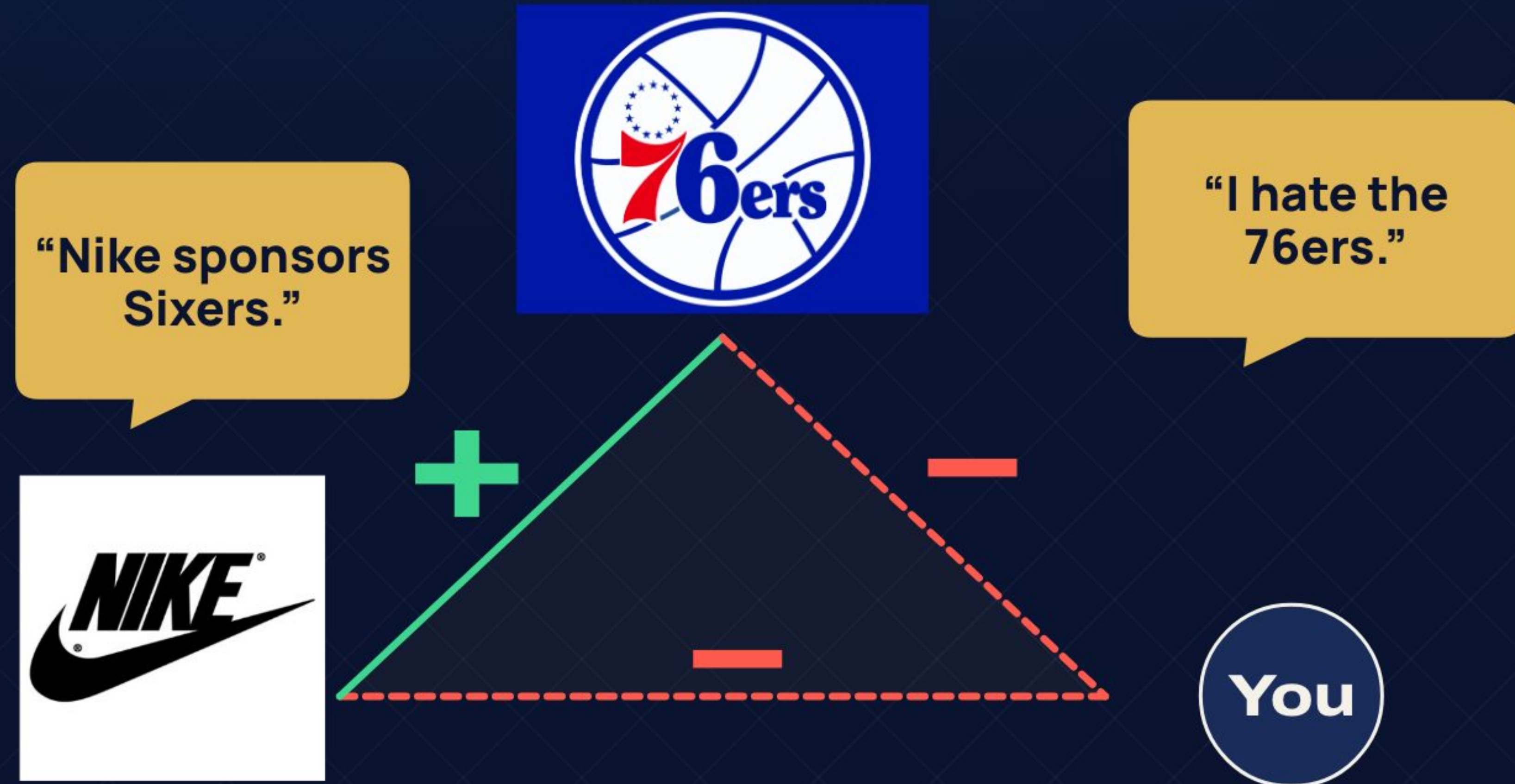
Use 'slide show' to see the attitude change below

◆ Click to reveal each step

Your attitude toward Nike:

(-) (+) (?) = (+)

(-) (+) (-) = (+)



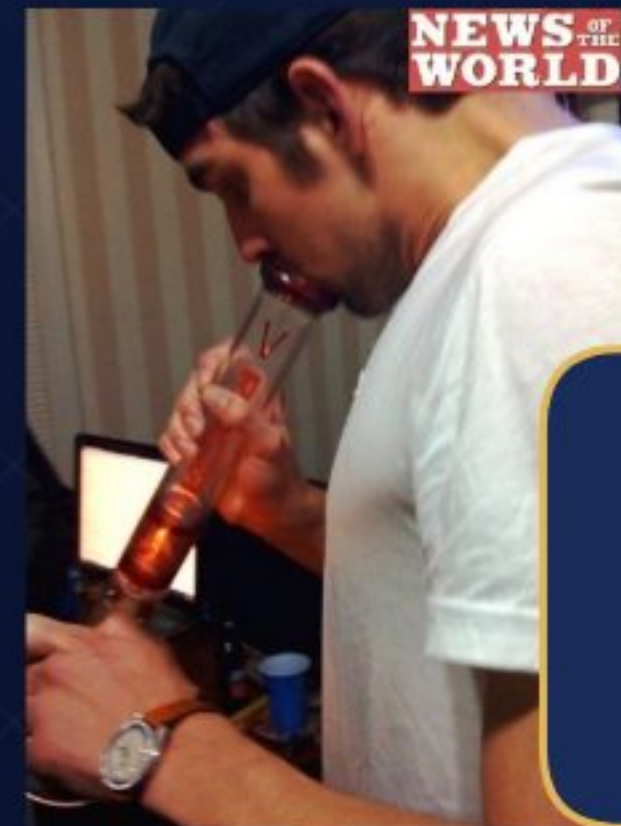
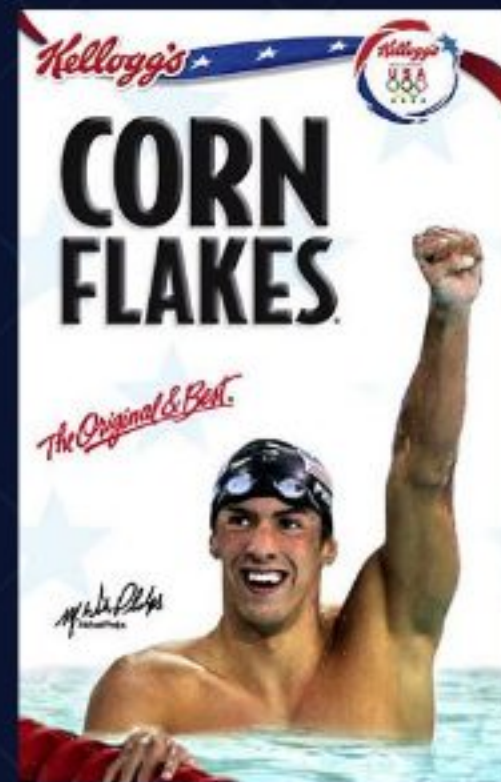
THEORIES CONT.

Balance Theory (Heider, 1958)

◆ Click the diagram to step through the attitude change · after the last click it resets

Your attitude toward Kellogg's:
(+) (+) (+) = (+)

Kellogg's dropped
Michael Phelps.



"I like Michael Phelps."



Before: You like Michael Phelps (+), and Phelps endorses Kellogg's (+). To keep the triangle balanced, you like Kellogg's too (+). (+) (+) (+) = (+)

The news: Your attitude toward Phelps turns negative (-). Because Phelps is still linked to Kellogg's (+), your attitude toward Kellogg's also turns negative (-). (-) (+) (-) = (+)

Kellogg's response: Kellogg's drops Phelps, so the Phelps-Kellogg's link becomes negative (-). Now you can like Kellogg's again (+). (-) (-) (+) = (+) — dropping the endorser protects the brand.

TIGER WOODS



How much did Tiger Woods lose in endorsement due to his infidelity in 2010?

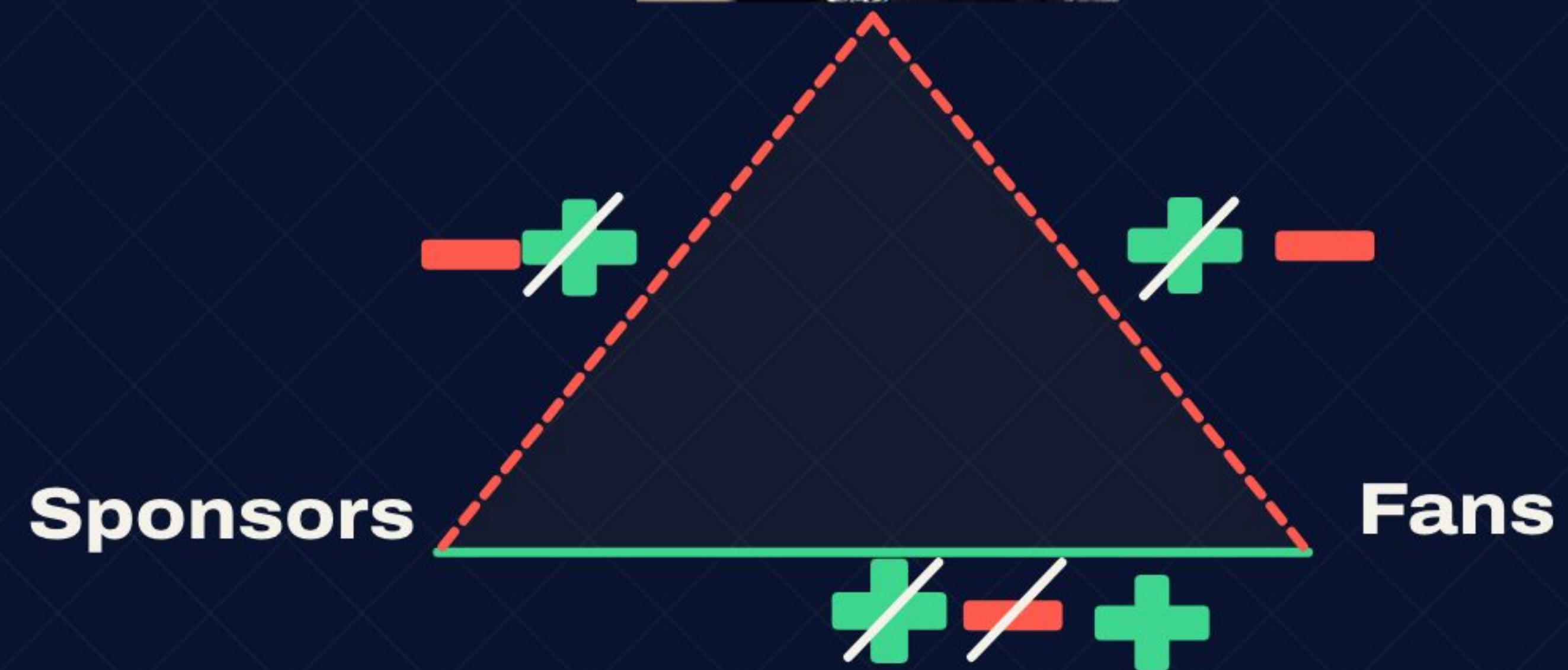
\$23M



<http://www.celebritynetworth.com/articles/entertainment-articles/how-much-has-tiger-woods-lost-in-endorsements/>

TIGER WOODS CONT.

◆ Click the diagram to step through the attitude change · after the last click it resets



TIGER WOODS CONT.



In late-2011, Tiger Woods had endorsement deals with the following companies:



NETJETS®



<http://www.tigerwoods.com/sponsors/>

THE GREATEST COME BACK IN THE HISTORY OF SPORTS

Witnessing history: How Tiger rallied to win the 2019 Masters



Watch this · https://www.youtube.com/watch?v=qG_Q-Vu-6xA (6:01)

AFTER TIGER WOODS REHAB AFTER CAR CRASH

- ◆ Tiger suffered orthopedic injuries to his right lower extremity in Feb 2021 accident in Southern California.



TIGER'S DUI CASE

Tiger Woods had his driver's license suspended five years after striking a plea deal in his DUI case.

Woods pleaded no contest to a reduced charge of reckless driving and refusal to submit to a lawful test in Martin County Circuit Court in Florida.

As part of the agreement, Woods also agreed to pay \$1,500 in fines. The golf legend also was found guilty of careless driving, a moving violation.



<https://www.youtube.com/watch?v=CFB95BUd9rk>



THE WORLD'S HIGHEST-PAID ATHLETES

- ◆ Do you think Tiger Woods is still ranked among the Top 10 highest-paid athletes in the world (as of 2026)?
- ◆ True/False?
- ◆ <https://www.forbes.com/lists/athletes/>



THE WORLD’S HIGHEST-PAID ATHLETES CONT.

2026

Rank	Name	Sport	Nationality	Total Earnings	On-Field Earnings	Off-Field Earnings
1	Cristiano Ronaldo	Soccer	Portugal	\$300 M	\$235 M	\$65 M
2	Canelo Alvarez	Boxing	Mexico	\$170 M	\$160 M	\$10 M
3	Lionel Messi	Soccer	Argentina	\$140 M	\$70 M	\$70 M
4	LeBron James	Basketball	United States	\$137.8 M	\$52.8 M	\$85 M
5	Shohei Ohtani	Baseball	Japan	\$127.6 M	\$2.6 M	\$125 M
6	Stephen Curry	Basketball	United States	\$124.7 M	\$59.7 M	\$65 M
7	Jon Rahm	Golf	Spain	\$107 M	\$97 M	\$10 M
8	Karim Benzema	Soccer	France	\$104 M	\$100 M	\$4 M
9	Kevin Durant	Basketball	United States	\$103.8 M	\$54.8 M	\$49 M
10	Lewis Hamilton	Auto Racing	United Kingdom	\$100 M	\$70 M	\$30 M

TIGER WAS NOT RANKED ON TOP 50

THE WORLD’S HIGHEST-PAID ATHLETES CONT.

Golden Goal

First named the world’s highest-paid athlete in 2016, Cristiano Ronaldo has now led the ranking six times in 11 years, including the past four.

Year		No. 1 Athlete	Earnings Total
2016		Cristiano Ronaldo	\$88 million
2017		Cristiano Ronaldo	\$93 million
2018		Floyd Mayweather Jr.	\$285 million
2019		Lionel Messi	\$127 million
2020		Roger Federer	\$106.3 million
2021		Conor McGregor	\$180 million
2022		Lionel Messi	\$130 million
2023		Cristiano Ronaldo	\$136 million
2024		Cristiano Ronaldo	\$260 million
2025		Cristiano Ronaldo	\$275 million
2026		Cristiano Ronaldo	\$300 million

Source: Forbes

Forbes

THE WORLD'S HIGHEST-PAID ATHLETES CONT.

Earn, Baby, Earn

The world's ten highest-paid athletes raked in a combined \$1.4 billion over the past 12 months, with the total more than doubling from a decade ago.



Source: Forbes

Forbes

SPONSORSHIP VS. ENDORSEMENT



SPONSORSHIP VS. ENDORSEMENT

Endorsement

“any individual who enjoys public recognition and who uses this recognition on behalf of a consumer good by appearing with it in an advertisement” (McCracken, 1989, p. 310).



Meaning Transfer = Meanings of the celebrity are now the meanings of the product (e.g., personality, age, gender, lifestyle types, status, class, etc.).

SPONSORSHIP VS. ENDORSEMENT CONT.

Identify which of the following is an example(s) of the endorsement deal? Explain the reason for your choice.

◆ Click each deal to reveal the answer · Endorsement vs. Sponsorship



(1) Tiger Woods----Nike

Endorsement

vs.

Sponsorship



(2) Tiger Woods----Buick

Endorsement

vs.

Sponsorship



(3) Tiger Woods----Rolex

Endorsement

vs.

Sponsorship

SPONSORSHIP VS. ENDORSEMENT CONT.

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(3) Tiger Woods----Rolex

Endorsement

vs.

Sponsorship

Nike is a product that Tiger Woods used during his game/play, and the Nike golf clubs (now he's using TaylorMade) as well as other equipment (such as a ball, shoes, etc.) could impact his performance. On the other hand, Buick (automobile brand) and Rolex (watchmaker) are not products that influence or enhance his game performance. As a result, Nike is an example of endorsement, whereas Buick and Rolex are examples of sponsorship.

THE NBA'S RICHEST SHOE DEALS (2019)



<https://www.forbes.com/sites/kurtbadenhausen/2019/08/28/the-nbas-richest-shoe-deals-lebron-kobe-and-durant-are-still-no-match-for-michael-jordan/?sh=67c40ec23d02>



THE NBA'S RICHEST SHOE DEALS CONT.

Nike, including Jordan, has 9 of the 14 players under contract, which helped it NBA 86% of the U.S. basketball performance market in 2019, according to NPD analyst Matt Powell. Under Armour (6.9%) and Adidas (5.5%) battle for Nike's leftovers. Adidas has three big-money NBA deals, while Under Armour, Anta and Li-Ning all have one player making at least \$9 million.

As Nike and Adidas put more emphasis on lifestyle apparel and shoes, NBA players are natural endorsement partners with the league's significant influence on fashion and pop culture. The players below are the ones who drive the conversation.

2017 Deals →

<https://www.forbes.com/sites/kurtbadenhausen/2019/08/28/the-nbas-richest-shoe-deals-lebron-kobe-and-durant-are-still-no-match-for-michael-jordan/?sh=67c40ec23d02>



THE NBA'S RICHEST SHOE DEALS CONT.

- ◆ As of 2019, the NBA players' shoe endorsement deal rankings are different than their 2017.
- ◆ Please check out the full article linked below:
- ◆ <https://www.forbes.com/sites/kurtbadenhausen/2019/08/28/the-nbas-richest-shoe-deals-lebron-kobe-and-durant-are-still-no-match-for-michael-jordan/?sh=5bd04f7e3d02>
- ◆ Zion Williamson, the most hyped NBA rookie since LeBron James, has signed a multiyear endorsement deal with Jordan Brand that ESPN reports has the highest annual value of any NBA rookie shoe deal. Since the previous rookie-deal record was held by James, whose annual shoe contract value was in the \$12.5 million range, Williamson's deal is likely worth more than \$62.5 million overall.



THE NBA'S RICHEST SHOE DEALS

CONT.

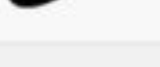
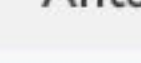
- ◆ Zion's deal is worth a reported \$75 million over seven years, which would make this the biggest shoe deal since Nike signed LeBron James for \$90 million in 2003.
- ◆ According to ESPN, Williamson turned down more lucrative offers from both Li-Ning and Puma. Williamson had an opportunity to sign for more than \$100 million, all without playing an NBA game.



THE NBA'S RICHEST SHOE DEALS CONT.

Biggest NBA Signature Shoe Deals 2021



Player		Brand	Annual Contract Value
	Michael Jordan		\$150M
	LeBron James		\$32M
	Kevin Durant		\$28M
	Stephen Curry		\$20M
	James Harden		\$14M
	Zion Williamson		\$12M
	Giannis Antetokounmpo		\$12M
	Russell Westbrook		\$11M
	Kyrie Irving		\$11M
	Derrick Rose		\$11M
	Damian Lillard		\$10M
	Klay Thompson		\$8M

THE NBA'S RICHEST SHOE DEALS CONT.

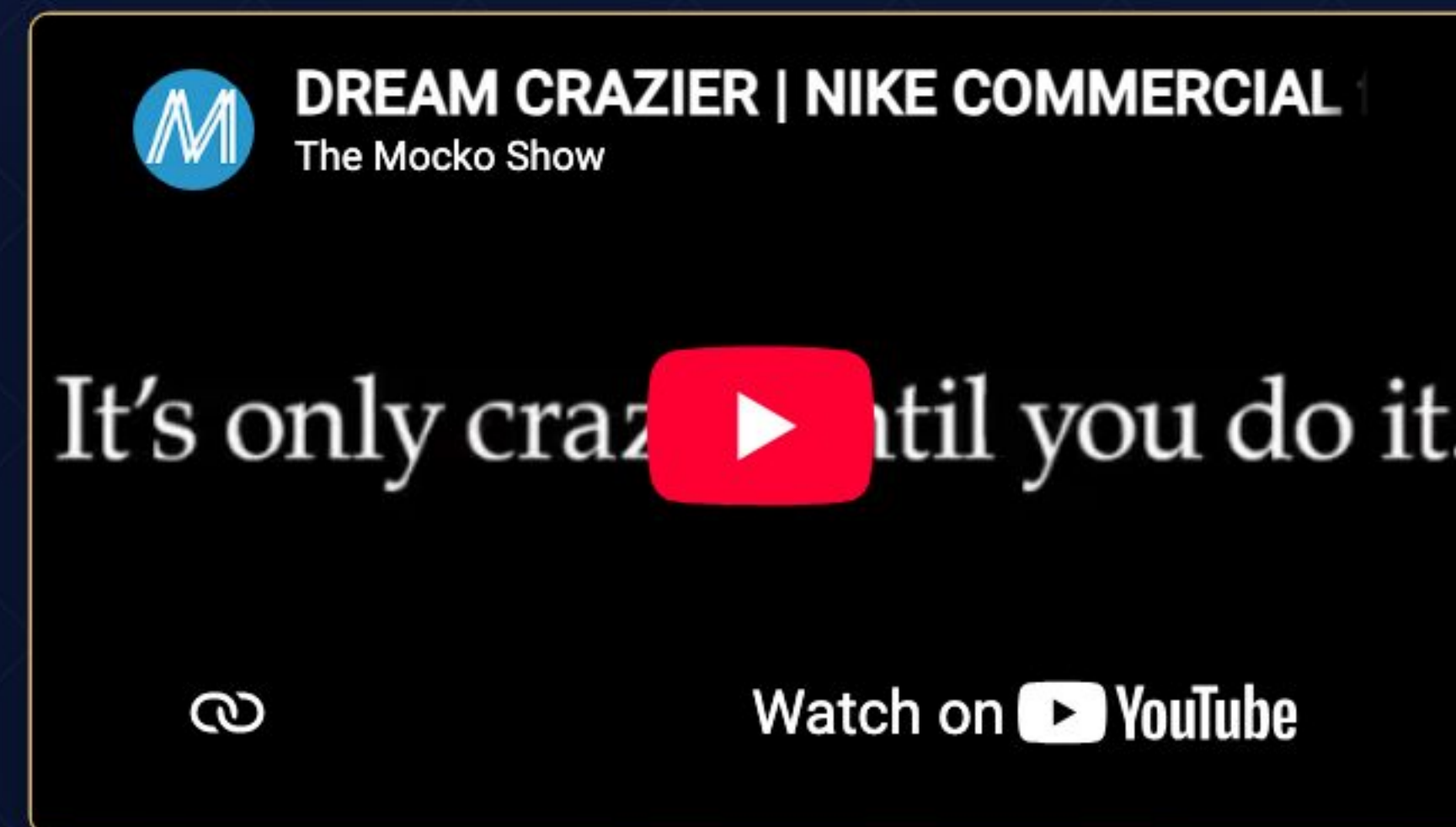
- ◆ 10 Most Expensive Shoe Deals in NBA History
- ◆ <https://www.givemesport.com/most-expensive-shoe-deals-nba-history/>



SPONSORSHIP VS. ADVERTISING

Watch these clips!

How's sponsorship different than advertising?



► <https://www.youtube.com/watch?v=5Mc06cIrvXE>



► <https://www.youtube.com/watch?v=C5ZDl4epfbM>

SPONSORSHIP VS. ADVERTISING CONT.

Goodwill

The largest factor distinguishing sponsorship from advertising (Meenaghan, 2001)

- ◆ Sponsorship is seen as Involving benefit to society.
- ◆ Advertising is seen as being selfish and in the interests of the advertiser, thus involving no obvious benefit to society.

SPONSORSHIP VS. ADVERTISING

COMPARATIVE FACTORS	SPONSORSHIP	ADVERTISING
Goodwill	-----	-----
Focus	-----	-----
Intent to Persuade	-----	-----

Source — Meenaghan (1991)

SPONSORSHIP VS. ADVERTISING

COMPARATIVE FACTORS	SPONSORSHIP	ADVERTISING
Goodwill	Beneficial	Selfish
Focus	Indirect/Subtle	Direct/ Forceful
Intent to Persuade	Disguised	Overt

Source – Meenaghan (1991)

QUESTIONS?
